Global Economics

Professor Shubham

Course: FYBBA (DB) Div: C
College: K.P.B. Hinduja college
Topic: Theory and Issues of International Trade

Group: Mastermind	Roll. No.
1. Anjali Rajput	163
2. Khush Rathod	168
3. Viratee Sanghvi	180
4. Tanay Sharma	191
5. Spaarsh Tiwari	220
6. Granth Trehan	222
7. Pooja Tripathi	223
8. Vidhi Vora	233



Presentation Outline (Index)

- Meaning & Importance
- Why countries trade
- Theory 1 Absolute advantage
- Theory 2 Comparative Advantage
- Modern trade theory
- Benefits of international trade
- Major issues
- Challenges in Global trade
- Conclusion

Meaning & Importance

What is International trade?

It's a exchange of:
Goods (Cars, clothes, foods, etc.)
Services (IT, tourism, banking, etc.)



Why is it important?

- Helps countries get products they cannot provide themselves.
- Increases global business and economic growth.
- Generates Employment.
- Encourages competition and better quality.

Why Countries Trade?

Unequal Resources

Countries trade due to **uneven distribution** of natural resources, leading to specialized exports like oil, spices, and cotton.



Lower Cost Production

Countries export goods they can produce efficiently and cheaply. This leads to improved global resource allocation and benefits consumers worldwide.
Lower Cost Production

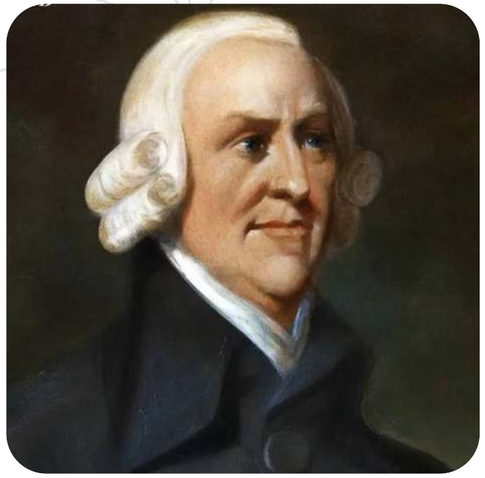


Differences in Technology

- Developed countries utilize advanced machinery.
- High-tech goods are produced with greater efficiency.
- Faster production times lead to increased output.
- Innovation drives competitiveness in global markets.
- Technology enhances product quality and features.

Climate Influences on Agriculture

- Canada’s climate is ideal for wheat cultivation.
- India’s warm climate suits tea and coffee growth.
- Different crops thrive in varying climates.
- Climate diversity supports agricultural trade.
- Resource distribution enhances trade opportunities.



Adam Smith
1723-1790

The concept of absolute advantage is generally attributed to the Scottish economist Adam Smith in 1776 in his book The Wealth of Nations.

What is Absolute Advantage?

"If a foreign country can supply us with a commodity cheaper than we ourselves can make it, better buy it of them with some part of the goods produced of our own industry supplied to them in a way in which we have some advantage." — Adam Smith, The Wealth of Nations

Example

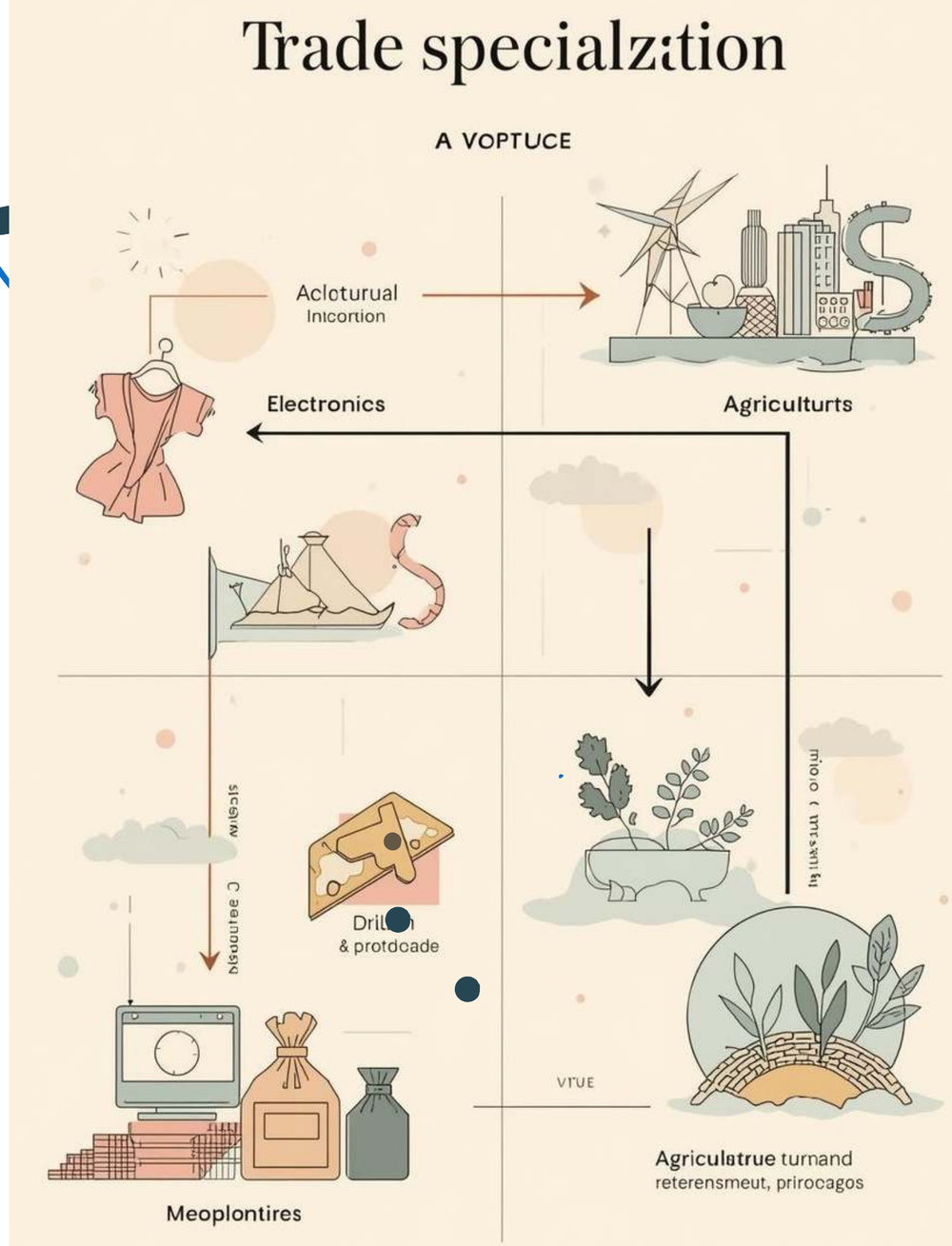
India can produce rice at a lower cost than Japan → India exports rice
Japan can produce electronics more efficiently → Japan exports electronics
So, both countries focus on what they are good at and benefit through trade.

Instead of trying to do everything, do what you're the best at and trade for the rest.

What is Comparative Advantage?

A country should specialize in goods with the lowest opportunity cost.

Comparative advantage is a fundamental concept in international trade, suggesting that countries should focus on producing goods where they incur the lowest opportunity cost. This specialization not only enhances efficiency but also promotes global trade, as nations benefit by trading their specialized products for others that they need.



The Importance of Specialization

Understanding how comparative advantage drives global trade efficiency

Comparative advantage is vital for economic growth, as it allows countries to **focus on their strengths**. By specializing in industries where they hold a comparative advantage, nations can maximize efficiency and productivity, leading to higher quality goods and services. This interconnectedness fosters **mutually beneficial trade** relationships globally.

- **India excels in software production due to innovation. Cotton production is less efficient in comparison. Focus on software exports boosts economic growth significantly.**



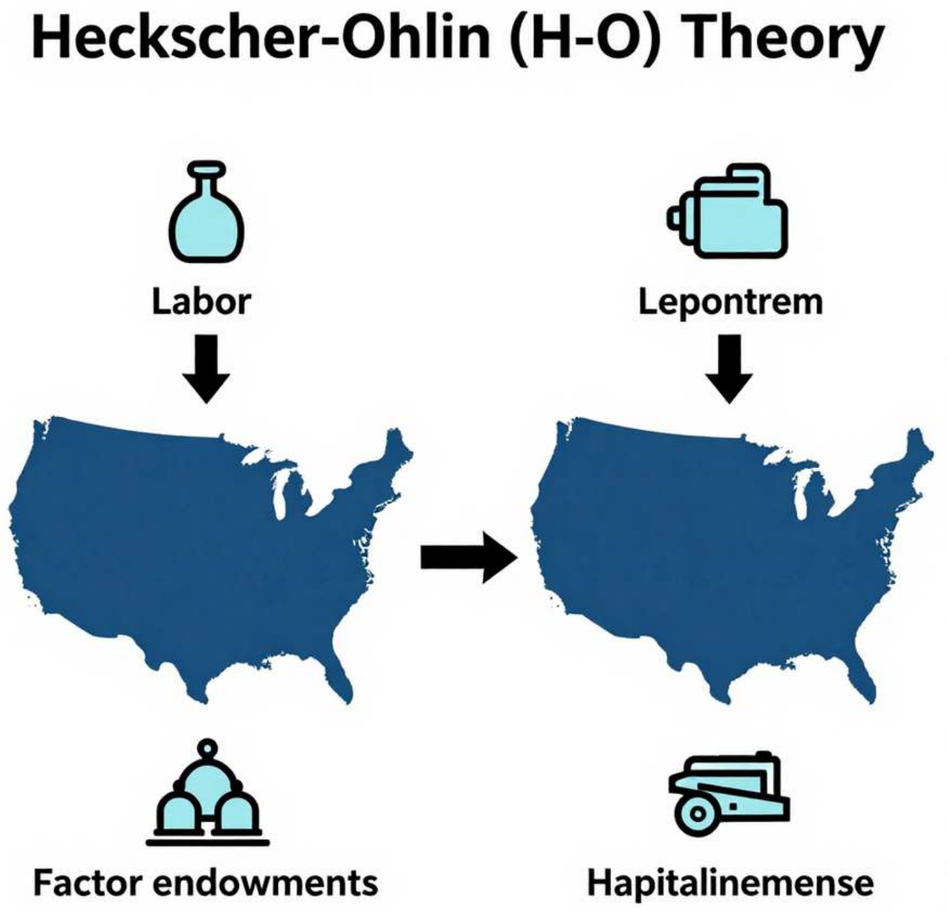
The Heckscher-Ohlin (H-O) Theory

Concept:Countries export goods that use a lot of what they have, and import goods that use a lot of what they do not have.

- **Factor Abundance**: What country has "a lot" of (e.g., Labor or Capital).
- **Factor Intensity**: What product "needs" most to make

.**The Rule:**

- Labor-Rich -> Export Labor-Intensive goods.
- Capital-Rich -> Export Capital-Intensive goods.





Real-World Evidence

Country	Abundant Resource	Major Exports
India	Labor	Textiles, Garments, Agriculture
USA	Capital/Tech	Aircraft, Semiconductors, Machinery



Benefits of International Trade

Access to a Diverse Range of Goods and Services

One of the primary benefits of international trade is the variety it offers. Consumers worldwide enjoy access to products and services that might not be available domestically.

Job Creation and Employment Opportunities

International trade plays a key role in creating jobs and employment opportunities, especially in export oriented industries. International trade also creates jobs indirectly in sectors such as logistics, transportation, and financial services.

Transfer of Technology and Skills

International trade acts as a conduit for the exchange of technology, expertise, and skills. Developing nations, in particular, benefit from partnerships with advanced economies, gaining access to cutting-edge tools and knowledge.

International Trade Boosts Economic Growth and GDP

When a country exports goods or services, it brings foreign revenue into its economy. This income can be reinvested into local businesses, infrastructure, education, and innovation—factors that further amplify GDP.

Major Issues in International Trade



Trade Barriers

Trade barriers are restrictions that governments use to control foreign trade.

✔️ Tariffs (Tax on Imports)

- Extra tax added to imported goods.
- Makes foreign products more expensive.
- Helps local businesses compete.

Trade barriers control foreign goods.

Protectionism

Protectionism means protecting domestic industries from foreign competition.

Why countries do this:

- To save local jobs
- To support new industries
- To reduce dependence on imports

Protectionism supports local industries.



Currency Exchange Rate Problems

Exchange rates affect how expensive or cheap exports and imports become.

Key issues:

- Currency value changes frequently.
- Businesses face uncertainty in pricing and profits.
- A weak currency makes imports costly but exports cheaper.

Exchange rate changes create uncertainty.

Trade Deficit

A trade deficit happens when:

Imports > Exports

Why it matters:

- More money flows out of the country.
- Can increase foreign debt or economic pressure
- A trade deficit occurs when a country's imports are greater than its exports.

Trade deficit happens when buying more than selling globally.

Current Issues in International Trad e

- **Trade Disputes**

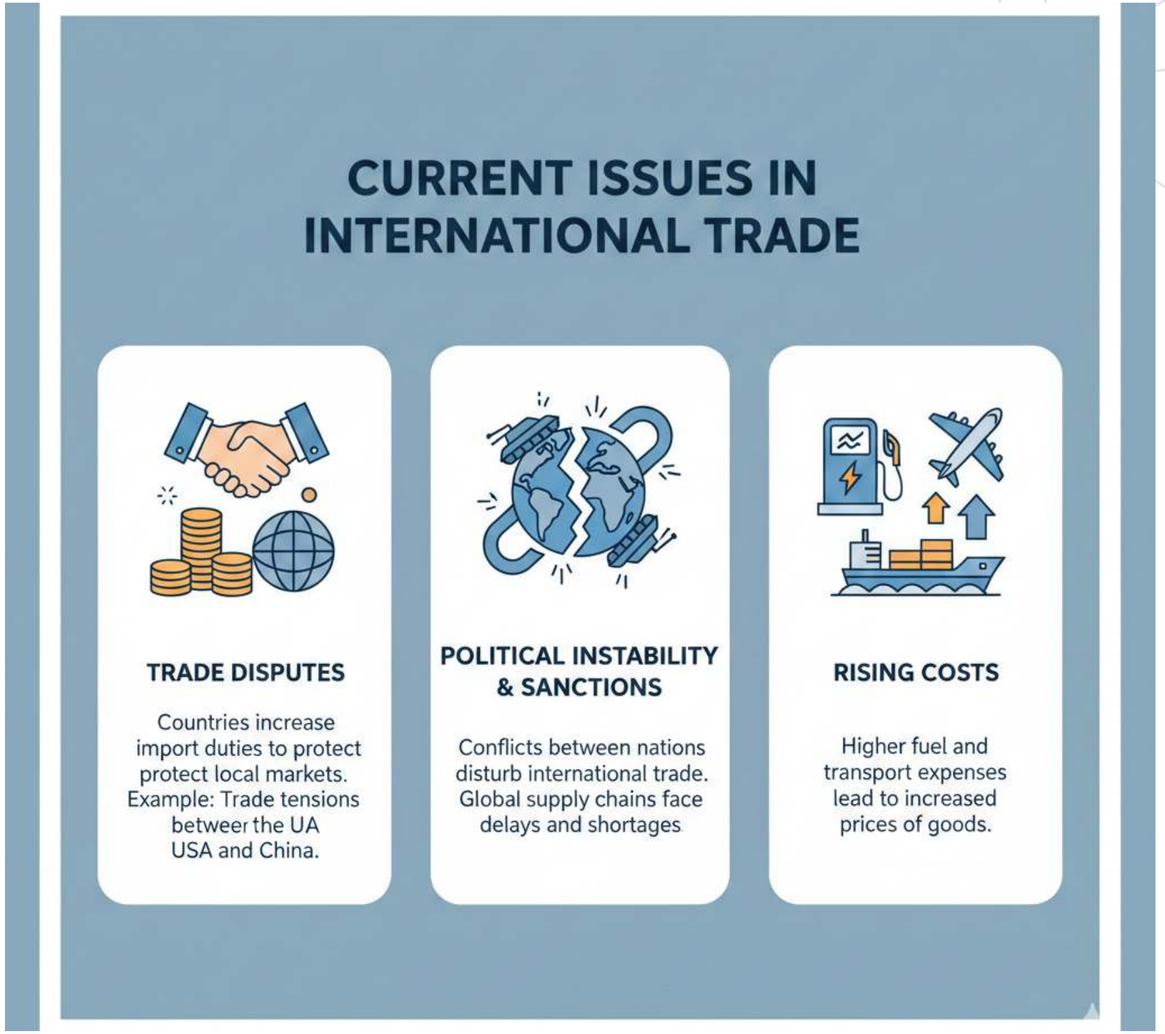
Countries increase import duties to protect local markets.
Example: Trade tensions between the USA and China

- **Political Instability & Sanctions**

Conflicts between nations disturb international trade. Global supply chains face delays and shortages

- **Rising Costs**

Higher fuel and transport expenses Lead to increased prices of goods



Key Trade Concerns

- **Environmental Regulations**
  Nations demand sustainable and eco-friendly production. Raises production and export costs

- **Unequal Trade Practices**
  Developing countries often receive lower payments. Profits are unevenly shared.

Example

Farmers earn less for raw materials
Large companies earn higher profits



Conclusion

International trade helps countries grow by exchanging goods & services, but global trade also faces problems like tariffs, trade wars, currency changes, etc.

Solutions / Suggestions

- Reduce unwanted trade barriers
- Promote free & fair trade agreements
- Strengthen WTO rules
- Encourage sustainable and ethical trade

Thank you!

Work credits

Anjali Rajput	163	2-3 and 16
Tanay Sharma	191	4-5
Vidhi Vora	233	6
Viratee Sanghvi	180	7-8
Pooja Tripathi	223	9-10
Khush Rathod	168	11
Granth Trehan	222	12-13
Spaarsh Tiwari	220	14-15

📚 Reference (Books & Sources)

- Global Economics Notes.
- WTO (World Trade Organization)
- Google and Chatgpt (Definitions)
- Dominick Salvatore - International Economics